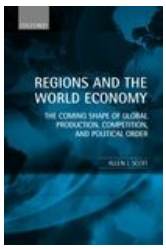

Regions and the World Economy: The Coming Shape of Global Production, Competition, and Political Order

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CHAPTER

4 The Global Mosaic of Regional Economies

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Abstract

Concentrations of capital and human labor, relevant elements in the emerging world economic system, serve as the basic units of a new global mosaic of regional economies. This global mosaic, made of a series of developed geographic spaces found in various places in the world, has a central nucleus and surroundings of a variable radius. Understanding how this system works means grasping the notion of demographic and economic clustering in geographic space. Using empirical data for the United States, the author presents his insights regarding clustering and the patterns of economic location by sector. The author also presents a schematic outline of the new world map where the developed areas of the world are represented as systems of polarised regional economies. In line with this, the chapter includes a discussion regarding the social order of such systems.

Keywords: capital, human labor, clustering, economic system, global mosaic, regional economies

Subject: Political Economy, International Business

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Although the economic interconnections between different locations across the globe are expanding at a rapid pace, the state of the world remains far indeed from anything even approaching spatial liquefaction. Localized processes of growth and development have actually been accentuated by globalization, and this is nowhere more apparent than in the case of those dense concentrations of capital and human labor now multiplying throughout the world in the guise of large metropolitan areas. The latter constitute the elemental choremes, as it were, of the ascending world economic system, and as such they function as the basic units of a new global mosaic of regional economies.

Dynamic urban regions, of course, have been persistent elements of the landscape of capitalism over both the nineteenth and twentieth centuries. Today, however, their importance assumes added weight by reason of the combined effects of (*a*) the secular lowering of the economic and political boundaries between different places, resulting in the progressive incorporation of urban regions into vastly extended networks of linkages, and (*b*) the developmental take-off of many formerly marginal areas, leading to the world-wide extension of large-scale urbanization.

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Three main remarks must be made here. First, and to reiterate, major metropolitan areas continue to expand at a remarkable rate—contrary to a commonly held view that new transportation and communication technologies are beginning to subvert urbanization processes. Second, the world's metropolitan areas are increasingly enmeshed in expansive spatial divisions of labor as expressed in part in inter-regional commodity chains stretching across the globe.[1] Third, precisely because of the lowering of economic and political boundaries, these events are to lesser and lesser degrees controllable by the sovereign state, which, by the same token, finds it increasingly difficult to protect individual regions and sectors within its purview from the shocks and ↳ pressures that they inevitably feel on occasions as globalization intensifies. In response to this latter state of affairs, many regions in many different parts of the world are starting to cast about for new ways to assert their own economic interests, to build localized competitive advantages serving their specific needs, and to assert their political individuality and identity.

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Contours of the Global Mosaic

The global mosaic of regional economies alluded to above comprises a series of densely developed geographic spaces scattered across the globe, each constituted by (*a*) a central nucleus (e.g. a metropolitan area or a group of coterminous metropolitan areas), and (*b*) a surrounding dependent hinterland of variable radius. This set of spaces is superimposed upon and intersects with swaths of much less well developed territory toward the extensive margins of capitalist development. Any attempt to understand the contours of this entire system must in part, at least, come to terms with the ubiquitous phenomenon of demographic and economic clustering in geographic space.

The clustering of population

Throughout the post-war decades, the main nodes of the mosaic have grown rapidly in terms of population, and additional nodes have continually sprang up at new locations all over the world. Today, urban areas of all sizes account for as much as 44.8% of the world's population, with more developed countries being characterized by an average urbanization quotient of 74.7% and less developed countries by a quotient of 37.0%.[2]

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On the more narrowly defined basis of metropolitan areas with populations of 1 million or more—of which there was a total of 272 in 1990 —the percentage of the world's population accounted for is 14.0%, though this rises to 25.6% on average in the more economically advanced countries. At the turn of the century, the phenomenon of the 'million city' was considered to be an unusual if not an aberrant occurrence, limited for the
p. 49 most part to the special case of capital cities. At the present time, it is a common feature of daily experience in
↳ many different areas of the world (see Figure 4.1); and, as shown by the data laid out in Table 4.1, the number of metropolitan areas with a population of at least 1 million more than tripled between 1950 and 1990. Table 4.2 provides data on the fifteen largest metropolitan areas in the world at different points in time. In 1950 these areas accounted for a total population of 82.5 million; by 1970 their aggregate population had grown to 140.2 million, and by 1990 to 189.6 million. Paradoxically, these very largest metropolitan areas are becoming more concentrated in poorer countries and less so in richer countries—in 1950 as many as two-thirds of them were located in the developed capitalist world, but by 1990 this fraction had fallen to just one-third. Most of the recent population growth of these and other large metropolitan areas is not so much the result of natural increase as it is an outcome of complex systems of migration from regions of lower economic opportunity to regions of higher economic opportunity, e.g. from rural to urban areas, and from lesser developed countries to more economically advanced countries. In poorer parts of the world, vigorous inward migration to cities often results in what is occasionally described as macrocephalic urban growth (i.e. pathological over-development of the largest city), which in turn is an echo of the relative scarcity of economic opportunities across space, with the concomitant piling up of migrants at only a few locations as the invariable result. The persistence of these migration streams into metropolitan areas throughout the world is nonetheless testimony to the continuing economic vitality of the urban process in contemporary capitalism.

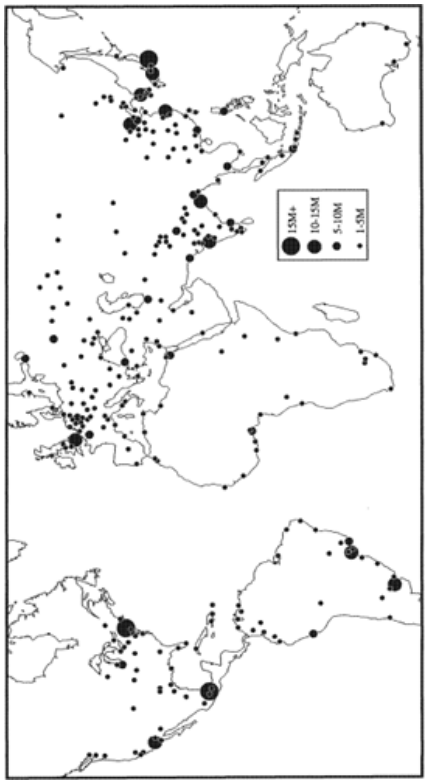

Fig. 4.1. Current world distribution of metropolitan areas with populations greater than 1 million. *Source of data*: UN, *World Urbanization Prospects*. New York: United Nations, 1995.

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Table 4.1. The number of large metropolitan areas in the world, 1950, 1970, and 1990

Population category (millions)	Number of metropolitan areas		
	1950	**1970**	**1990**
1–5	5–10	10+	Total
75	7	1	83
144	18	3	165
249	21	12	272

Source: UN, *World Urbanization Prospects*, New York: United Nations, 1995.

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Table 4.2. The fifteen largest metropolitan areas is in the world, 1950, 1970, and 1990

Population (millions)					
1950		**1970**		**1990**	
New York	12.3	Tokyo	16.5	Tokyo	25.0
London	8.7	New York	16.2	New York	16.1
Tokyo	6.9	Shanghai	11.2	Mexico	15.1
Paris	5.4	Osaka	9.4	São Paulo	14.8
Moscow	5.4	Mexico	9.1	Shanghai	13.5
Shanghai	5.3	London	8.6	Bombay	12.2
Essen	5.3	Paris	8.5	Los Angeles	11.5
Buenos Aires	5.0	Buenos Aires	8.4	Beijing	10.9
Chicago	4.9	Los Angeles	8.4	Calcutta	10.7
Calcutta	4.4	Beijing	8.1	Buenos Aires	10.6
Osaka	4.1	São Paulo	8.1	Seoul	10.6
Los Angeles	4.0	Moscow	7.1	Osaka	10.5
Beijing	3.9	Rio de Janeiro	7.0	Rio de Janeiro	9.5
Milan	3.6	Calcutta	6.9	Paris	9.3

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Berlin	3.3	Chicago	6.7	Tianjin	9.3
Total	82.5		140.2		189.6

Source: UN, *World Urbanization Prospects*, New York: United Nations, 1995.

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The clustering of economic activities

The motive force behind this long-run trend to expansion and multiplication of large urban regions is lodged above all in the general thrust of economic growth and its peculiar spatial resolution as an uneven pattern of development focused on a relatively small number of giant agglomerations.

As a first approximation, we can think of the economies of large urban regions as being separable into basic
p. 50 and non-basic production activities.[3] The former consist of enterprises that export their outputs ↳

p. 51 ↳

p. 52 ↳

p. 53 ↳
beyond the boundaries of the urban area, and thus are the principal foundation of local prosperity. The latter produce goods and services for purely intra-regional consumption; despite their economic dependence on the base, they typically account for anywhere from 50% to 60% of total employment in any given region.[4] More sophisticated accounts of the urban economy unpack this simple twofold schema into any number of individual sectors, each of which in varying proportion sells its products in both local and extra-local markets. From this perspective, the local economy can then be described in a preliminary way as a system of production-*cum*-transactional operations, involving:

1. a regional nexus of input-output relations with firms buying and selling capital goods from one another in more or less expanded production sequences;
2. a purely sumptuary segment, serving the needs of the local populace and based in part on local inputs;
3. a structure of trade with other regions, such that surpluses of both capital goods and consumer goods are exported while deficits are made up by imports.

At the heart of any regional economy like this, we are liable to find an enormous diversity of manufacturing firms, service enterprises, and —-to an ever-increasing degree in modem post-fordist cities—cultural-products providers. The latter are engaged in sectors such as fashion clothing, jewelry, publishing, films, television, multimedia, music, and so on. Official statistical classifications typically assign cultural-products sectors to disjoint manufacturing and service categories; but, given their massive importance in many large cities today, the distinctiveness of their final outputs, and their often global reach, it is useful to think of them as all belonging to the same broad classificatory unit,[5] and I shall refer to them in this way in subsequent chapters.

All of these production activities occur in dense urban concentrations, though we can almost always also find a complementary pattern of locational dispersal, which may even become dominant in some sectors at certain
p. 54 conjunctures depending on the interplay of technologies, labor ↳ costs, market conditions, and so on. Moreover, individual concentrations have a propensity to display palpable forms of economic specialization, a feature that may be expected to intensify as they are farther integrated into a global division of labor.

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The spatial concentration of production has in fact been a chronic long-ran feature of capitalist development, and it continues even today to be one of the major processes shaping and reshaping the economic geography of the world. For example, in the United States in 1992, as much as 51.3% of all manufacturing employment and 52.8% of all manufacturing value added was concentrated in metropolitan areas with a population of 1 million or more (see Table 4.3), of which there were just forty in 1990. In the two decades between 1972 and 1992, manufacturing employment in these forty metropolitan areas grew by 4.3% whereas in the country as a whole it declined by 3,9%; at the same time, manufacturing value added grew by 30.6% in the forty metropolitan areas, in contrast to a growth rate of 20.3% for the entire country. In addition, although Table 4.3 reveals that the three largest metropolitan areas in the United States (New York, Los Angeles, and Chicago) showed a significant decline in manufacturing employment between 1972 and 1992, they actually continue to be absolutely dominant centers of manufacturing activity in terms of both employment and value added (with the latter variable actually increasing in constant-dollar terms between 1972 and 1992). Significantly, manufacturing employment and value added expanded at extremely rapid rates from 1972 to 1992 in the remaining thirty-seven of the forty metropolitan areas. For comparative purposes, data on Japan for 1993 reveal that a little over one-third of the country's total 10.9 million employees in manufacturing were concentrated in just five prefectures, i.e. Aichi, Kanagawa, Osaka, Saitama, and Tokyo.[6]

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Table 4.3 Manufactoring employment and value added in the forty US metropolitan area with a population of 1 million or more in 1992

Population category (millions)	No. of metropolitan areas	Employment ('000)			Value added (1992 $bn)		
		1972	1992	% change	1972	1992	% change
8+	3	3,443	2,850	−17.2	215	217	1.0
4–8	6	1,972	2,408	22.1	129	205	59.4
2–4	12	1,764	2,127	20.6	113	163	44.1
1–2	19	1,790	1,971	10.1	121	169	39.8
Forty metropolitan areas	40	8,972	9,358	4.3	578	755	30.6
USA	—	19,000	18,253	−3.9	1,188	1,429	20.3

Source: US Department of Commerce, Bureau of the Census, *Census of Manufactures*, Washington, 1972 and 1992.

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In view of the absolute and relative shifts in the US economy from manufacturing to services, we might well have expected the manufacturing performance of large cities to have lagged more severely than it has done. By the same token, the service industry performance of large American cities has been remarkable in recent decades. This comment is underlined by the data presented in Table 4.4, showing that service industry receipts
p. 55 in the forty largest US metropolitan areas grew by as much as 174.0% between 1972 and 1992, whereas the ↳

p. 56 ↳

p. 57 ↳
corresponding growth for the whole country over the same period was 132.7%. In 1992, a total of 74.6% of all service industry receipts in the United States was concentrated in the forty largest metropolitan areas. Over a quarter of these receipts were accounted for by New York, Los Angeles, and Chicago alone. On a global scale, the emergence of places like London, Tokyo, and Frankfurt as commanding centers of business and financial service activity offers a number of striking parallels to the US case.

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Table 4.4. Service industry receipts in the forty US metropolitan areas with a population of 1 million or more, 1992* *

Population category (millions)	No. of metropolitan areas	Service industry receipts (1992 $bn)		
		1972	1992	% change
8+	3	108.8	237.2	118.0
4–8	6	55.6	189.6	241.0
2–4	12	42.9	143.8	235.2
1–2	19	33.0	88.1	167.0
Forty metropolitan areas	40	240.0	658.7	174.0
USA	—	379.3	883.0	132.7

Note: The service industry is defined here (in terms of the 1987 Standard Industrial Classification) as SICs 70 (Hotels and Other Lodging Places), 72 (Personal Services), 73 (Business Services), 75 (Auto Repair, Services, and Parking), 16 (Miscellaneous Repair Services), 78 (Motion Pictures), 79 (Amusement and Recreation Services), 81 (Legal Services), 87 (Engineering and Management Services).

Source: US Department of Commerce, Bureau of the Census, *Census of Service Industries*, Washington, 1972 and 1992.

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One final piece of information serves to drive home the point about the tendency for economic activity to cluster in particular places. Not only are the forty largest metropolitan areas alluded to above the main foci of the US domestic economy, they are also the predominant foundation of its foreign trade efforts. In aggregate, these areas accounted for 63.5% of the total dollar value of the merchandise exports of the United States in 1994.[7] The top ten exporters were, in order, Detroit, New York, Los Angeles, Seattle, San Jose, Chicago, Houston, San Francisco, Miami, and Minneapolis, and they alone accounted for 33.8% of the US total.

Sectoral dimensions of clustering

We may ask, how do these patterns of economic location vary by sector? And what in turn can the answer to this question tell us about the basic logic of the observed trends? In providing a preliminary response to these questions, I shall again draw chiefly on empirical data for the United States, although, as later arguments will suggest, the main findings presented below can be readily generalized to other cases.

Table 4.5 provides data on the geographic clustering of manufacturing employment in the United States in 1992 by two-digit industrial sectors. For each sector, the amount of employment in the forty metropolitan areas with populations greater than 1 million is shown, together with corresponding employment levels in the United States as a whole. Also presented in the table is the percentage of employment concentrated in the forty
p. 58 metropolitan areas for each sector. Sectors are then ranked by these percentage values and segregated ↳

p. 59 ↳
into three equal-sized partitions. Characteristic sectors of the group with high levels of employment concentration in the forty metropolitan areas are SIC 27 (Printing and Publishing) and SIC 36 (Electronic and Other Electronic Equipment). Characteristic sectors of the second group are SIC 37 (Transportation Equipment) and SIC 23 (Apparel and Other Textile Products); both of these sectors, it may be noted, break down into finer categories, some of which are highly concentrated and some of which are highly dispersed. The third group, with low levels of employment concentration, may be exemplified by SIC 33 (Primary Metal Industries) and SIC 26 (Paper and Allied Products), An attempt was made to isolate some of the specific factors underlying these differentials by means of logistic regression.

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Table 4.5. Manufacturing employment in the forty US metropolitan areas with a population of 1 million or more in 1992, by two-digit sector

Standard Industrial Category (SIC)	Employment in the forty metropolitan areas ('000)	Employment in USA ('000)	The 40 metropolitan areas as a % of the USA
Top group			
27 Printing and Publishing	922	1,506	61.2
34 Fabricated Metal Products	727	1,370	53.1
38 Instruments and Related Products	462	910	50.7
39 Miscellaneous Manufacturing Industries	178	365	48.7
36 Electronic and Other Electronic Equipment	679	1,444	47.0
30 Rubber and Miscellaneous Plastics Products	416	907	45.9
35 Industrial Machinery and Equipment	791	1,742	45.4
Middle group			
28 Chemicals and Allied Products	347	850	40.8
37 Transportation Equipment	667	1,646	40.5
23 Apparel and Other Textile Products	389	986	37.4
32 Stone, Clay, and Glass Products	175	470	37.2
25 Furniture and Fixtures	160	473	33.8
20 Food and Kindred Products	500	1,505	33.2
Bottom group			
33 Primary Metal Industries	216	663	32.6
29 Petroleum and Coal Products	36	114	31.8
26 Paper and Allied Products	198	626	31.7
24 Lumber and Wood Products	120	658	18.2
31 Leather and Leather Products	17	101	16.5
22 Textile Mill Products	98	615	15.9
21 Tobacco Products	0	38	0.0
Totals	7,078	16,989	41.7

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Note: Sectors are segregated into three groups according to the percentage of their employment concentrated in the forty metropolitan areas. The designated totals are less than those in Table 4.3 because 1.26 million (unallocated) administrative and auxiliary employees have not been included in the national figures

Logistic regression is a technique for correlating a dependent variable whose values range between zero and one (and which are thus probabilities or proportions) with any set of independent variables, where the results are such as to guarantee that predicted values of the dependent variable will always remain within their pre-defined numerical range. In the present instance, the dependent variable is defined as the ratio of (a) employment in the forty largest metropolitan areas to (h) employment in the USA as a whole; observations on this variable are represented by the two-digit SIC categories given in Table 4.5, Out of many independent variables that were examined in a preliminary round of investigation, three were isolated for further scrutiny:

1. the capital-labor ratio, ie. the ratio of fixed capital assets to total employment;
2. average size of establishment, i.e. total employment divided by number of establishments;
3. production workers as a proportion of all employees.

These three variables are expressed in terms of aggregate national data, with all observations again being represented by two-digit SIC categories.

The results of the logistic regression are laid out in Table 4.6, along with those of a second analysis to be alluded to later. Both the capital-labor ratio and production workers as a proportion of all workers turn out to be highly
p. 60 significant variables, whereas average size of establishment is non-significant in statistical terms.[8] The signs
↳

p. 61 ↳
attached to the regression coefficients for all three independent variables are negative. Thus, as the capital-labor ratio and production workers relative to all employees fall in value in any two-digit standard industrial category, predicted locational patterns will shift from being comparatively dispersed to comparatively clustered. These results are broadly consistent with a preliminary explanation of the phenomenon of industrial clustering and dispersal as a twofold relation based on labor-intensive, unstandardized, and relatively skilled production activities in the one case, and routinization and deskilling in the other.[9]

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Table 4.6. Summary results of logistic regression analysis of locational clustering in two-digit manufacturing sectors and four-digit clothing industry sectors[a]

Variable	Two-digit manufacturing sectors[b]		Four-digit clothing industry sectors[c]	
	Coefficient	***t*-vaiue**	**Coefficient**	***t*-value**
Capital–labor ratio	−0.0012	2.01	−0.1565	3.58
Average size of establishment	−0.0023	0.88	−0.0073	2.03
Production workers as a proportion of all employees	−4.2850	4.59	−3.7228	0.83
Constant term	−0.3623		−0.3236	
R^2	0.59		0.46	
Number of observations	19		29	

a Both analyses apply to US data for 1992. The form of the regressions is representable as $p = a(\exp\Sigma b_i X_i)/(1 + a\exp\Sigma b_i X_i)$, where p is the proportion of employees in a given sector to be found in clustered formation (as defined in the text), X_i is the ith independent variable, and a and b_i are computed parameters.

b SIC 21 (Tobacco Products) is omitted from the analysis (i.e. $p_{SIC\ 21} = 0$).

c SICs 2381 (Fabric Dress and Work Gloves) and 2385 (Waterproof Outerwear) are omitted from the analysis (i.e. $p_{SIC\ 238l} = 0$ and $p_{SIC\ 2385} = 0$).

In turn, and anticipating some of the arguments to be developed at a later stage, we might hazard the interpretation that clustering tends to ensue, *ceteris paribus*, wherever we find industries that face unstable markets whose contestability is focused mainly on product quality and innovativeness rather than cost, and dispersal wherever we find the opposite. The crudeness of definition of the variables used here, however, impedes us from making more precise statements about causalities at this stage. As it is, the computed R^2 for this analysis is a very significant 0.59.

Despite these encouraging results, the fact that they are based on such a small and heterogeneous number of observations is an inducement to look for further confirmation of the trends identified. One possible option here might be to try to replicate the same results over a larger number of more disaggregated industrial sectors. Unfortunately, we meet a serious obstacle if we simply expand the logistic regression model so as to accommodate, say, all three- or four-digit manufacturing sectors. If we proceed in this manner, it turns out that the extreme idiosyncrasy of the individual sectors (an idiosyncrasy that is in some degree masked by aggregation at higher levels of resolution) makes it difficult to extract any systematic conclusions. A way around this problem was sought by restricting the examination to four-digit sectors classified under SIC 23 (Apparel and Textile Products). This particular option offers a set of observational units that are all reasonably comparable in terms of their general structure while also being sufficiently numerous to permit trenchant statistical inference. One practical problem in using such fine sectoral definitions ↳ is that the confidentiality rales that apply to information published in the US *Census of Manufactures* mean that many relevant pieces of data are simply not available, particularly for the cases of all bet the very largest metropolitan areas. Accordingly, the dependent variable is now simply re-expressed as the proportion of aggregate employment located in New York and Los Angeles for each four-digit clothing industry sector. These two metropolitan areas dominate the entire US clothing industry, with just about one-fifth of all employment in SIC 23 between them. The independent variables are nominally the same as in the previous analysis, but now of course defined for four-digit clothing industry sectors.

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The results of this second logistic regression analysis are laid out on the right-hand side of Table 4.6. This time the statistically significant independent variables are the capital-labor ratio and the average size of establishment, while production workers relative to total employment is non-significant, possibly because its generally high values across all four-digit clothing industry SICs reduce its powers of statistical discrimination. All variables again have an inverse impact on the dependent variable. These findings ran fairly parallel to those of the first logistic regression, and can be interpreted in much the same way. However, the now significant role of the establishment size variable calls for some supplementary commentary. Falling values of the latter variable, like those of the capital-labor ratio, are a symptom of increased clustering in the clothing industry, a circumstance that can be accounted for partly by the fact that vertically disintegrated and fashion-oriented producers (who favor smaller establishments) tend to gravitate to locations close to the centers of New York and Los Angeles,[10] By contrast, large (and relatively capital-intensive) manufacturing plants making cheap factory clothing in long runs are more commonly found at dispersed locations where cheap land and labor are available.

As limited as the above analyses may be, they provide us with some preliminary insights into the dynamics of locational clustering and dispersal in modern production systems. These insights will be reworked in some theoretical detail in the next chapter, where I shall attempt to demonstrate that locational clustering is p. 63 associated above ↳ all with transactions-intensive, labor-intensive production sectors with high endogenous levels of entrepreneurial and innovative energy. It is not difficult to deduce (and the discussion in the next chapter will make the point more clear) that these sorts of attributes are also liable to vary in inverse relation to capital-labor ratios, average establishment size, and the relative weight of production workers in total employment. The same remark is suggestively reinforced by the data presented in Tables 4.3 and 4.4, which show that services are very much more spatially concentrated than manufacturing in the United States.

Toward the idea of agglomeration

The geography of industrial and service development, then, displays a widespread proclivity to locational clustering in the form of dense polarized complexes of producers on the landscape. Since production always requires human labor, these complexes are necessarily also the sites of large masses of population and local labor-market activity, together with dependent retail and service functions.

Henceforward, I shall refer to the logic that induces these states of centripetal convergence as a spatio-temporal dynamic of *agglomeration*, and I shall develop an analysis in the next chapter that seeks to understand the bases of and the limits to this dynamic in terms of *agglomeration economies and diseconomies*. The key moment of this logic revolves around the status of any economic system as a polarized complex of interrelated production and labor-market activities as indistinctly but definitely suggested in the discussion of the logistic regression results set out in Table 4.6.

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Forms of Regional Development

The productive and competitive capabilities of regions

Even in the nineteenth century it was evident that the large and specialized industrial agglomerations observable in various parts of Europe and North America could be accounted for only partially by reference to the pre-given distribution of natural endowments. The presence or otherwise of resources like coal or iron ore
p. 64 or natural harbors most certainly influenced the location of industry, but the spatial pattern of ↳ many sectors, such as cotton spinning and weaving in and around Manchester, or shoes and leather in the towns of southern New England, seemed at best only tenuously related to a set of underlying physical conditions. They were, to be sure, associated with pools of skilled and habituated labor, but were these pools of labor a cause or an effect of industrial development?

In the twentieth century, the gap between the geographic distribution of natural endowments and the observable shape of the economic landscape is even more pronounced. There is virtually nothing in the early history or geography of places like Detroit, Silicon Valley, or Seattle that would enable one to foretell their subsequent emergence as major world centers of the car, computer, and aircraft industries, respectively. Even in the celebrated cases of the aerospace and motion picture industries of Southern California, whose presence in the region is commonly ascribed to local climatic conditions, physically based explanations dissolve away on closer scrutiny in favor of more social constructivist accounts.[11]

Any attempt to comprehend exactly what does come to pass in these sorts of cases calls at the outset for a systematic theoretical account of both the static and dynamic logic of agglomeration. What we can say at this stage is that much economic development in the modern world is actually generated in the context of wholesale locational agglomeration, combined with specific kinds of social and political processes that shore up *regional productive and competitive capabilities*. In the most successful cases, the result is a constant stream of localized increasing-returns effects, which then often become locked in via a process of hysteresis.[12] What this means, in general, is that the many overlapping sub-systems (social divisions of labor, technologies, bodies of know-how, employment practices, reputation effects, etc.) into which regional economic complexes typically
p. 65 decompose all develop and grow in mutual interaction with one ↳ another, so that their competitive powers—taken as a whole—are almost always greater than the sum of the individual competitive powers residing within each firm. The rule of Ricardian comparative advantage still remains an important key to any understanding of the ways in which regional economies become specialized and integrated into wider networks of trade, but the foundations of this process nowadays tend to be rooted in historically accumulated social and political structures rather than in raw natural endowments.

Fordist and post-fordist regions

These overarching conditions of regional development are of course realized in a great diversity of concrete geographical and historical circumstances. One distinctive expression of them is to be seen in the Manufacturing Belt of the United States (and in its geographical homologue in north-west Europe) in the decades following World War 1, with Chicago and Detroit as its chief exemplars, where a hugely successful fordist mass-production system was creating the basis of the American Dream. Yet another expression is discernible today in selected parts of North America (e.g. the Sunbelt), Western Europe (e.g. southern Germany and north-east and central Italy), and east and south-east Asia (the four tigers, and much of Japan), where dense urban and regional development has occurred in response to a later, post-fordist mode of industrialization.[13]

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Fordist industrialization between about 1920 and 1965 was based more than anything else on propulsive growth pole sectors marked by powerful internal economies of scale. In its archetypal embodiment it consisted of industries like cars, machinery, domestic appliances, etc., which, together with their associated constellations of direct and indirect input suppliers, generated massive urban and regional concentrations of capital and labor as exemplified by the classic North American manufacturing metropolis.

Fordist industry was by no means the only or even perhaps the most common kind of manufacturing activity to be found in the main industrial regions of North America and Western Europe at this time, but it was at the p. 66 forefront of national economic growth, and its ↳ trajectory of development was widely considered to define an ideal model that virtually all other industries were expected to follow as they yielded to the imperative of technological progress.[14] It also certainly constituted most of the dynamic functional core of the great growth centers of the inter-war and post-war years, where its unique employment structure was characteristically re-expressed in the social space of the city in terms of a pervasive twofold split between blue-collar and white-collar neighborhoods. At the same time, these growth centers came to function as the nuclei of an evolving intra-national core-periphery system of regional development which probably attained to its prime spatial expression some time in the 1960s.

The beginnings of the ebb-tide of fordist mass production and the ascent of post-fordist industry as a leading edge in capitalist development can be dated from the late 1960s and early 1970s. At this time, processes of growth, technological innovation, and labor-market formation were starting decisively to be restructured as large numbers of post-fordist and flexible-production sectors in both manufacturing and service industries rose to the fore. Simultaneously, a window of locational opportunity seemed to open up as firms in these sectors sought out very different kinds of urban and regional milieus from those that had taken shape in the older industrial spaces of North America and Western Europe. This was a moment when the established pattern of industrial geography in the more developed parts of the world was undergoing severe raptures and when a disparate group of new industrial spaces was beginning to loom into being,

In spite of the variety of locations in which these new industrial spaces are found, they almost all share the common feature that they offer social and cultural environments which are distant in functional and/or spatial terms from those that were formed and consolidated in given places under the regime of fordist mass-production industry. Above all, their political atmospheres are relatively untainted by the predispositions and traditions that pervaded the classical American and European urbanized working classes in their mid-century heyday, with their peculiar attitudes and habits, their historical self-consciousness, and their experience of organized and sustained opposition to management.

By the same token, these new industrial spaces tend to offer only limited resistance to the construction of p. 67 alternative sorts of social and ↳ cultural environments more appropriate to post-fordist species of production. We find them in areas like the US Sunbelt, where new high-technology industries flourish in places like Silicon Valley, Orange County, or Austin; in the traditional urban centers of north-east and central Italy, with their profusion of high-grade craft industries; in the major cities of east and south-east Asia, with their enormously diverse economic bases focused especially on many different kinds of electronics and craft industries; and in global cities like New York, London, Frankfurt, Paris, or Tokyo, where much of the command, control, financial, and cultural functions of the modern world economy are concentrated.

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Important aspects of this still-evolving historical-geographical conjuncture can be discerned in the changing economic fortunes of the US Frostbelt and Sunbelt since the early 1970s. Recall from Table 4.3 that manufacturing employment in the forty largest metropolitan areas of the United States grew by 4.3% between 1972 and 1992. However, when we reconstitute this information so as to reflect events in the conventional Frostbelt-Sunbelt macro-regions, we find that manufacturing employment in the metropolitan areas of the former zone declined by 12.4% over 1972–92, whereas it grew by 48.5% in the metropolitan areas of the latter. Much of this shift can be ascribed to the relative locational concentration of older fordist mass-production industries in the Frostbelt, and of newer post-fordist production sectors in the Sunbelt.

Once this has been said, industrial employment in many parts of the Frostbelt (and the Midwest in particular) are now showing signs of new growth after a long period of crisis, and as the last major relics of fordist-era industrial capacity and practices are being cleared away.[15] As this happens, flexible-production activities have been re-colonizing the voids that have been left behind. In addition, service industry employment has grown rapidly and more or less uninterruptedly in major cities throughout the country over the last few decades. Such growth has occurred even in Frostbelt cities, where the service sector has always been quite segregated in both geographic and social terms from the old fordist manufacturing activities that were to be found there.

p. 68

The New World Map of Regions

The economic geography of today's world is a complex palimpsest composed of locational residues from previous historical rounds of economic growth, but now being dominantly restructured by processes of post-fordist industrialization, regional development, and worldwide economic integration.

I have already noted on a number of occasions that one of the dominant features of this economic geography is a world order made up by two interlocking systems of production and exchange. On the one hand, we observe a widening structure of national and international commodity chains in which products originating in particular locations are passed on for further processing or final consumption to other locations around the world. On the other hand, we are also witnessing a state of affairs where to an increasing degree the individual nodes of these global commodity chains are constituted as dense intra-regional constellations of economic activity, with the entire set of nodes forming an irregular world-wide mosaic. The whole is imbricated within complex national variations in levels of economic opportunity and marginalization, with some countries drawing enormous benefits from the emerging new world order while others are clearly lagging behind.

A schematic outline of the world map that seems to be coming into being as these processes work themselves out is presented in Figure 4.2.

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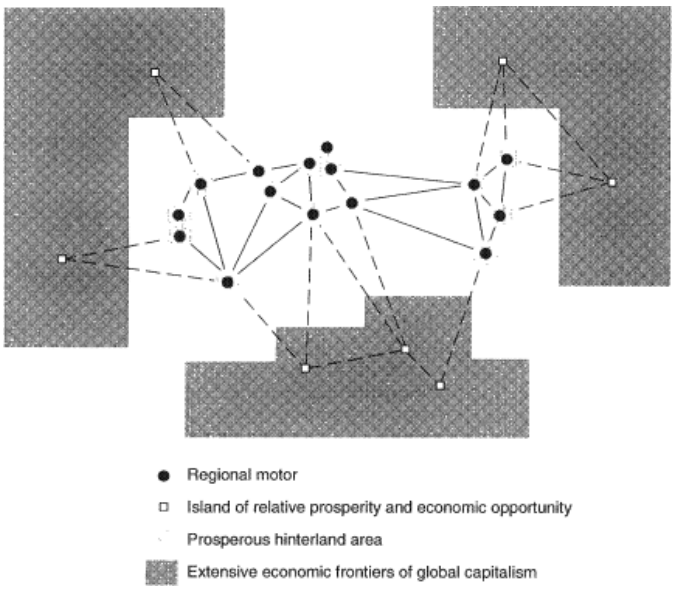

Fig. 4.2. A schematic representation of the contemporary geography of global capitalism

Here, the developed areas of the world are represented as a system of polarized regional economies each consisting of a central metropolitan area and a surrounding hinterland (of indefinite extent) occupied by ancillary communities, prosperous agricultural zones, smaller tributary centers, and the like. As indicated in the figure, some of these metropolis-hinterland systems may actually fuse together to form megalopolitan regions as in the actual cases of Boston-New York-Philadelphia, Los Angeles-San Diego-Tijuana, Milan-Turin-Genoa, the Dutch Randstad, Tokyo-Nagoya-Osaka, and so on. Each metropolitan nucleus is the site of intricate networks of specialized but complementary forms of economic activity, together with large, multi-faceted local labor markets, and each is a locus of powerful agglomeration economies and increasing returns effects. As such, they are not only large in size but also constantly growing yet larger. These entities can be thought of as
p. 69 *the regional motors of the new global economy*. ↳

p. 70 Equally, there are large expanses of the modern world that lie at the extensive economic margins of capitalism (former colonies, ex-socialist states, areas occupied by traditional cultures resistant to capitalist norms, and so on). Underdeveloped areas like these have been held back economically for various reasons, including the fact that they have often been unable to build the economic infrastructures and organizations that might push them in the direction of growth center development and hence into localized virtuous circles of economic expansion. Even so, underdeveloped areas are occasionally punctuated by islands of relative prosperity and opportunity, and some of these are almost certainly on a trajectory that will take them eventually to much higher levels of (agglomerated) economic development.[16] In the 1960s and 1970s, places like Hong Kong, Singapore, Taiwan, the Seoul metropolitan region, and central Mexico were all positioned along the early stages of this trajectory. Today, many urban regions in a diversity of newly industrializing countries (e.g. Bangkok, Kuala Lumpur, Guangzhou, and Sao Paulo) are following on the heels of these pioneers, while parts of Nigeria, the Ivory Coast, India, Indonesia, and possibly Vietnam seem to be poised close to the initiatory phase.

In more concrete geographical terms, the schematic map of the world laid out in Figure 4.2 can be thought of as a structure of nodes and their interconnections involving (*a*) the leading regions of the Triad countries, constituting the heart of the contemporary world system, and (*b*) a set of subsidiary geographic spaces corresponding to much of Africa, Latin America, and parts of Asia. The detailed underlying geometry of this entire structure reflects a complex past history of economic and political dependencies in which the regions of Asia are dominantly tied to Japan, those of Latin America to the United States, and those of Africa to Europe. Castells has demonstrated that this basic ossature is replicated over and over again in a wide variety of trade and investment flows in the modern world.[17]

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With the passage of time, this world-wide system of regions will predictably become steadily more tightly bound together within an overarching division of labor. On theoretical grounds, we may predict that this will
p. 71 be accompanied in all probability by a tendency for ↳ the world's regions to become yet more specialized and differentiated from one another In economic terms. The latter remark is echoed in some preliminary empirical work by Krugman and Venables, who have demonstrated that the major economic regions in the United States (which are roughly equivalent in size to individual European countries) are much more specialized in their manufacturing functions than the countries of the European Union.[18] However, with falling internal tariff barriers In the Union, thereby enlarging markets, European countries/regions now appear to be moving in the direction of more pronounced economic specialization, The newly prosperous city-states of Hong Kong and Singapore provide ample evidence that regional economic specialization (linked to export-oriented growth policies) can be an extremely successful formula for accelerated development in the global system.

The Social Order of the Mosaic

If capital is relatively mobile in the modern world, labor by contrast remains much more spatially confined, though assuredly not perfectly immobile, This circumstance provides an incentive for holders of capital to scour the world for very specific kinds of labor Inputs in order to enhance levels of profit, while by the same token continually destabilizing the geographic outlines of the entire system.

Recall that the new international division of labor theorists based an extremely stark prediction on this state of affairs with their claims about the incipient division of the world into two interdependent but clearly unequal zones. Core countries, they suggested, were destined to become foci of top-quality managerial, professional, and technical jobs, with the periphery becoming a sort of undifferentiated low-wage, low-skill haven for the branch plants of multinational corporations. This prediction about the socio-spatial evolution of the global system has turned out In practice to be over-drawn, and actual geographic distributions of socio-economic functions to be very much more complex than the original new International division of labor thesis seemed to
p. 72 allow. It is true that we can speak quite meaningfully of broad ↳ categories of countries and regions defined in terms of their level of development, and in particular of:

1. highly developed world leaders;
2. newly industrializing or middle-income countries and regions in transitional phases of development; and
3. underdeveloped outliers and left-behinds.

However, these cases are almost always more internally differentiated than their generalized profiles suggest. There are many widespread and stubborn instances of low-wage, low-skill economic activity in highly developed parts of the world, and of skilled managerial, professional and technical employment in less developed parts of the world. Above all, and despite their notable economic successes on many fronts, the main regional motors of the global economy invariably contain large pools of low-wage jobs and marginalized unskilled workers. They are often, as a consequence, rife with problems and predicaments that germinate within the swollen underside of their labor market and social structures.

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The progressive globalization of economic relations has subjected most of these motors to intense competitive and demographic pressures which have generally aggravated these dilemmas, and which simultaneously have tended to induce sharp bifurcations in local social formations. This tendency is most evident in the propensity for the economies of dense post-fordist agglomerations to split into a high-skill, high-wage employment segment on the one hand, and a low-grade segment employing large numbers of people in a diversity of sweatshop manufacturing sectors and service sectors on the other hand.[19] This pattern of social segmentation is reinforced by the intense attraction of these agglomerations for immigrants from peripheral countries and regions; witness the massive migration of Central Americans and South-east Asians to Los Angeles, Puerto Ricans and Haitians to New York, North and West Africans to Paris, and Filipino and Mainland Chinese workers to Hong Kong. The overall social segmentation that ensues engenders mounting tensions (often with racial and ethnic overtones) in these places, together with an endemic susceptibility ↳ to sporadic social eruptions and a
p. 73
persistent subversion of the latent function of the large metropolis as a gregarious community of communities. These trends have been exacerbated in the United States —nowhere more so than in the two leading cities of New York and Los Angeles—by the neo-conservative social policies that have been steadily diffusing through all levels of government since the early 1980s, and that have tended persistently to undercut the economic capacities and social welfare of those at the bottom of the employment ladder.

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